CHAPTER 44

Implications of Liquidating Value. Stockholder-Management Relationships

Wall Street holds that liquidating value is of slight importance because the typical company has no intention of liquidating. This view is logical, as far as it goes. When applied to a stock selling below break-up value, the Wall Street view may be amplified into the following: "Although this stock would liquidate for more than its market price, it is not worth buying because (1) the company cannot earn a satisfactory profit, and (2) it is not going to liquidate. In the previous chapter we suggested that the first assumption is likely to be wrong in a number of instances, for, although past earnings may have been disappointing, there is always a chance that through external or internal changes the concern may again earn a reasonable amount on its capital. But in a considerable proportion of cases the pessimism of the market will at least *appear* to be justified. We are led, therefore, to ask the question: "Why is it that no matter how poor a corporation's prospects may seem, its owners permit it to remain in business until its resources are exhausted?"

The answer to this question takes us into the heart of one of the strangest phenomena of American finance—the relations of stockholders to the businesses that they own. The subject transcends in its scope the narrow field of security analysis, but we shall discuss it here briefly because there is a distinct relationship between the value of securities and the intelligence and alertness of those who own them. The choice of a common stock is a single act; its ownership is a continuing process. Certainly there is just as much reason to exercise care and judgment in *being* as in *becoming* a stockholder.

Typical Stockholder Apathetic and Docile. It is a notorious fact, however, that the typical American stockholder is the most docile and apathetic animal in captivity. He does what the board of directors tell him